While China's export expansion led to the deterioration of the US current account deficit, its large trade surplus enabled China to accumulate substantial foreign-exchange reserves. It devoted most of these reserves to the purchase of US Treasury bonds, turning itself into the largest creditor to the US. Their financing of the US fiscal deficit allowed the US government to expand expenditures while cutting taxes. It fuelled the American appetite for Chinese exports, and the resulting increase in China's trade surpluses led to yet more purchases of US Treasury bonds. These constituted two mutually reinforcing processes of increasing Chinese exports to the US and increasing Chinese holdings of US public debt, continuously deepening the market and the financial dependence of China on the US. China's massive investment in low-yield US Treasury bonds is tantamount to a tribute payment through which Chinese savings were transformed into Americans' consumption power. In 2008, China surpassed Japan as the biggest foreign holder of US Treasury bonds, and its holding continued to escalate despite the financial crisis that broke out in Wall Street in 2008.

Many expect that China's hoarding of US Treasury bonds made the US increasingly vulnerable to China, which enjoys geopolitical autonomy from Washington and does not rely on US military protection as earlier leading Asian purchasers of US debt have done. China is theoretically capable of dumping its dollar assets anytime to induce a run on the currency, financial collapse, hyperinflation and fiscal crisis in the US. This, if it happens, would spell the final disintegration of the dollar standard.

But upon closer examination, we will be able to see that China's purchase of US Treasuries has become a compulsion generated by its export-led model of development. China's dumping of Treasuries out of its geopolitical rivalry with the US is unthinkable. The vested interests of China that propagated export-oriented growth in the 1990s, composed of coastal provincial governments, export manufacturers and their lobbyists, plus officials from the Ministry of Commerce, were keen on perpetuating such a model, preempting China's transformation to a more balanced developmental model driven by domestic consumption and depending less on the US. China's entrenched export-oriented growth makes the Chinese economy vulnerable to any major contraction of consumption demand in the US and Europe. The large incentive of the Chinese government to employ its foreign reserves to purchase US debt is not only a result of the vast liquidity and presumably stable safe return of the US Treasury bonds, but also an effort to secure the continuous increase in US demand for their own exports.

China's addiction to US Treasury bonds is attributable to China's trade structure too. Under its reprocessing export model, China has become a nodal